



CYBERARK®
THE IDENTITY SECURITY COMPANY®

Investor Relations Presentation

August 2025



Cautionary Language Concerning Forward-Looking Statements

This presentation contains forward-looking statements, which express the current beliefs and expectations of CyberArk's (the "Company") management. These forward-looking statements generally include statements regarding the Company's financial and operational performance, industry trends, and the transaction with PANW, including the anticipated timing thereof. In some cases, forward-looking statements may be identified by terminology such as "believe," "may," "estimate," "continue," "anticipate," "intend," "should," "plan," "expect," "predict," "potential" or the negative of these terms or other similar expressions. Such statements involve a number of known and unknown risks and uncertainties that could cause the Company's future results, levels of activity, performance or achievements to differ materially from the results, levels of activity, performance or achievements expressed or implied by such forward-looking statements. Important factors that could cause or contribute to such differences include, but are not limited to: the occurrence of any event, change or other circumstance that could give rise to the termination of the proposed transaction between PANW and the Company; PANW's ability to successfully integrate the Company's businesses and technologies; the risk that the expected benefits and synergies of the proposed transaction may not be fully achieved in a timely manner, or at all; the risk that PANW or the Company will be unable to retain and hire key personnel; the risk associated with the Company's ability to obtain the approval of its shareholders required to consummate the proposed transaction; the risk that the conditions to the proposed transaction are not satisfied on a timely basis, or at all, or the failure of the proposed transaction to close for any other reason or to close on the anticipated terms; the risk that any regulatory approval, consent or authorization that may be required for the proposed transaction is not obtained or is obtained subject to conditions that are not anticipated or that could adversely affect the expected benefits of the transaction; significant and/or unanticipated difficulties, liabilities or expenditures relating to the transaction; the effect of the announcement, pendency or completion of the proposed transaction on the parties' business relationships and business operations generally; the effect of the announcement or pendency of the proposed transaction on the parties' common or ordinary share prices and uncertainty as to the long-term value of PANW's or the Company's common or ordinary share; risks related to disruption of management time from ongoing business operations due to the proposed transaction; the outcome of any legal proceedings that may be instituted against PANW, the Company or their respective directors; developments and changes in general or worldwide market, geopolitical, economic, and business conditions; failure of PANW's platformization product offerings; failure to achieve the expected benefits of PANW's strategic partnerships and acquisitions; changes in the fair value of PANW's contingent consideration liability associated with acquisitions; risks associated with managing PANW's growth; risks associated with new product, subscription and support offerings, including product offerings that leverage AI; shifts in priorities or delays in the development or release of new product or subscription or other offerings, or the failure to timely develop and achieve market acceptance of new products and subscriptions as well as existing products, subscriptions and support offerings; failure of PANW's or the Company's business strategies; rapidly evolving technological developments in the market for security products, subscriptions and support offerings; defects, errors, or vulnerabilities in products, subscriptions or support offerings; PANW's customers' purchasing decisions and the length of sales cycles; PANW's competition; PANW's ability to attract and retain new customers; PANW's ability to acquire and integrate other companies, products, or technologies in a successful manner; PANW's share repurchase program, which may not be fully consummated or enhance shareholder value, and any share repurchases which could affect the price of its common stock; risks related to the Company's acquisitions of Venafi Holdings, Inc. ("Venafi") and Zilla Security Inc. ("Zilla"), including potential impacts on operating results; challenges in retaining and hiring key personnel and maintaining the Venafi and Zilla businesses; risks related to the successful integration of the operations of Venafi or Zilla and the ability to realize anticipated benefits of the combined operations; the rapidly evolving security market, increasingly changing cyber threat landscape and the Company's ability to adapt its solutions to the information security market changes and demands; the Company's ability to acquire new customers and maintain and expand its revenues from existing customers; real or perceived security vulnerabilities and gaps in the Company's solutions or services or the failure of customers or third parties to correctly implement, manage and maintain solutions; the Company's IT network systems, or those of third-party providers, may be compromised by cyberattacks or other security incidents, or by a critical system disruption or failure; intense competition within the information security market; failure to fully execute, integrate, or realize the benefits expected from strategic alliances, partnerships, and acquisitions; the Company's ability to effectively execute its sales and marketing strategies, and expand, train and retain its sales personnel; risks related to the Company's compliance with privacy, data protection and AI laws and regulations; the Company's ability to hire, upskill, retain and motivate qualified personnel; risks related to the integration of AI technology into our operations and solutions; reliance on third-party cloud providers for the Company's operations and software-as-a-service (SaaS) solutions; the Company's ability to maintain successful relationships with channel partners, or if channel partners fail to perform; fluctuation in the Company's quarterly results of operations; risks related to sales made to government entities; economic uncertainties or downturns; the Company's history of incurring net losses, its ability to generate sufficient revenue to achieve and sustain profitability and its ability to generate cash flow from operating activities; regulatory and geopolitical risks associated with the Company's global sales and operations; risks related to intellectual property; fluctuations in currency exchange rates; the ability of the Company's solutions to help customers achieve and maintain compliance with government regulations or industry standards; the Company's ability to protect its proprietary technology and intellectual property rights; risks related to using third-party software, such as open-source software and other intellectual property; risks related to share price volatility or activist shareholders; any failure to retain the Company's "foreign private issuer" status or the risk that the Company may be classified, for U.S. federal income tax purposes, as a "passive foreign investment company"; risks related to issuance of ordinary shares or securities convertible into ordinary shares and dilution, leading to a decline in the market value of the Company's ordinary shares; changes in tax laws; the Company's expectation to not pay dividends on its ordinary shares for the foreseeable future; risks related to the Company's incorporation and location in Israel, including wars and other hostilities in the Middle East; and other factors discussed under the heading "Risk Factors" in the Company's most recent annual report on Form 20-F filed with the Securities and Exchange Commission. Forward-looking statements in this presentation are made pursuant to the safe harbor provisions contained in the U.S. Private Securities Litigation Reform Act of 1995. These forward-looking statements are made only as of the date hereof, and the Company disclaims any obligation to update or revise the forward-looking statements, whether as a result of new information, future events or otherwise, except as required by applicable law.

The Global Leader in Identity Security

Securing every identity – human, machine and AI – with the right level of privilege controls

\$80B

Total Addressable
Market

~10,000

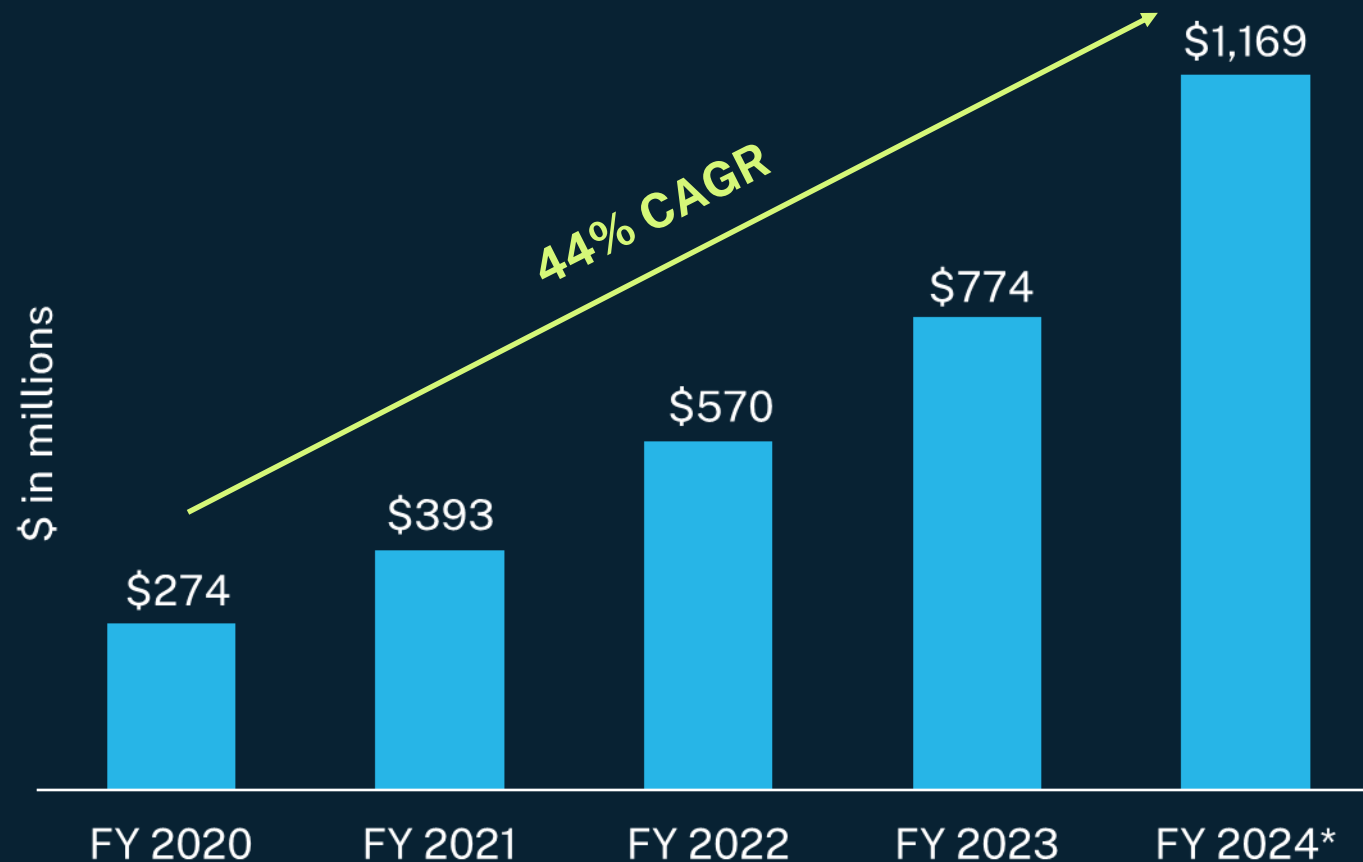
Global
Customers**

**Rule of
40**

In FY 2024

>90%

Of Revenue is
Recurring



■ Annual Recurring Revenue

ARR data as of December 31 of the respective year

Totals may not sum because of rounding.

*FY 2024 includes \$166 million in ARR as of December 31, 2024, from the acquisition of Venafi, which closed on October 1, 2024.

**As of December 31, 2024





CYBERARK®
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CyberArk's Mission

Secure the world against
cyber threats so together we
can move fearlessly forward

Investment Highlights



**Durable Industry
Tailwinds**



**Industry Leading
Innovation**



**Strong Revenue &
ARR Growth**



**Strong Profitability
& Free Cash Flow**



**Platform Selling Motion
Driving Land and Expand**



**Highly Predictable,
Recurring Revenue Model**

Q2 2025 Results At-a-Glance

Strong Topline

Annual Recurring Revenue*

\$1,274M

Total Revenue

\$328M

Expanded Profitability and Free Cash Flow

Non-GAAP Operating Income

\$49 Million

Adjusted Free Cash Flow**

\$44 Million

Non-GAAP Operating Margin

15%

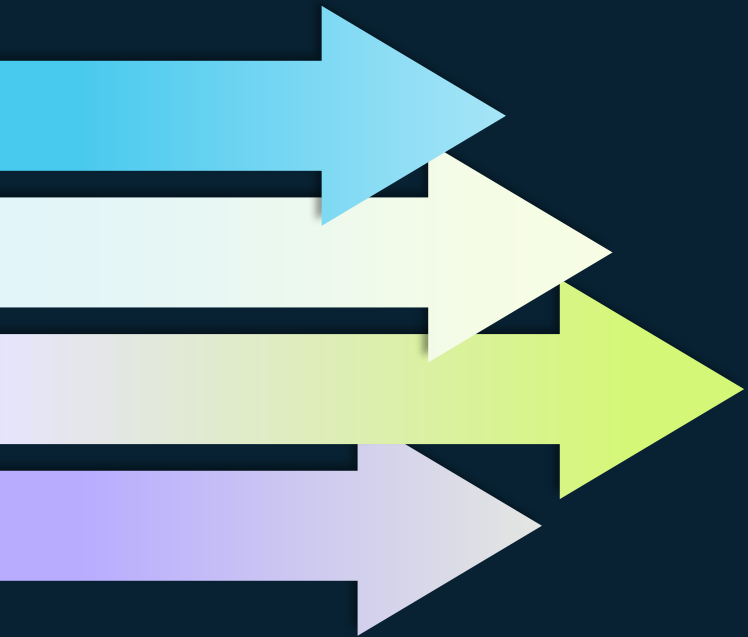
Adjusted FCF Margin**

13%

*as of June 30, 2025

**Adjusted free cash flow is calculated as free cash flow plus one-time tax payment on the capital gain from the intercompany migration of intellectual property (IP) related to the Venafi acquisition and capital expenditures related to our new U.S. headquarters. The quarter ended Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in Q4 2024, and Zilla Security, which closed in February 2025.

Venafi and Zilla are not included in Q1 2024, Q2 2024, and Q3 2024, and Zilla is not included in Q4 2024.



All Roads Lead to **IDENTITY**

93%

Of organizations were victims of identity-related cyberattack.

70%

Say identity silos are a root cause of cybersecurity risk.

#1

AI is the number one creator of new identities in 2025

49%

Of organizations report they lack full visibility into entitlements and permissions across their cloud environment

CyberArk's Vision

**Every identity secured
with the right level
of privilege controls**

CyberArk Identity Security Platform

HUMAN

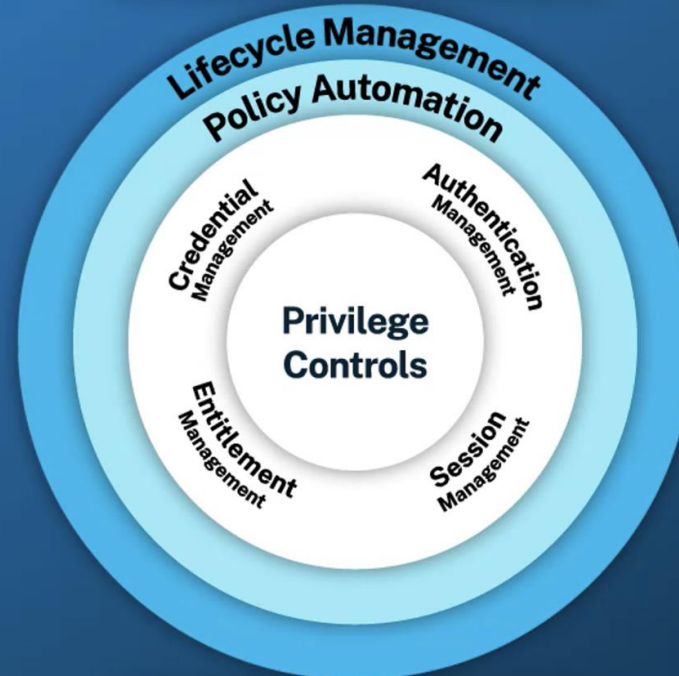
AI

MACHINE

Control Center

CORA AI

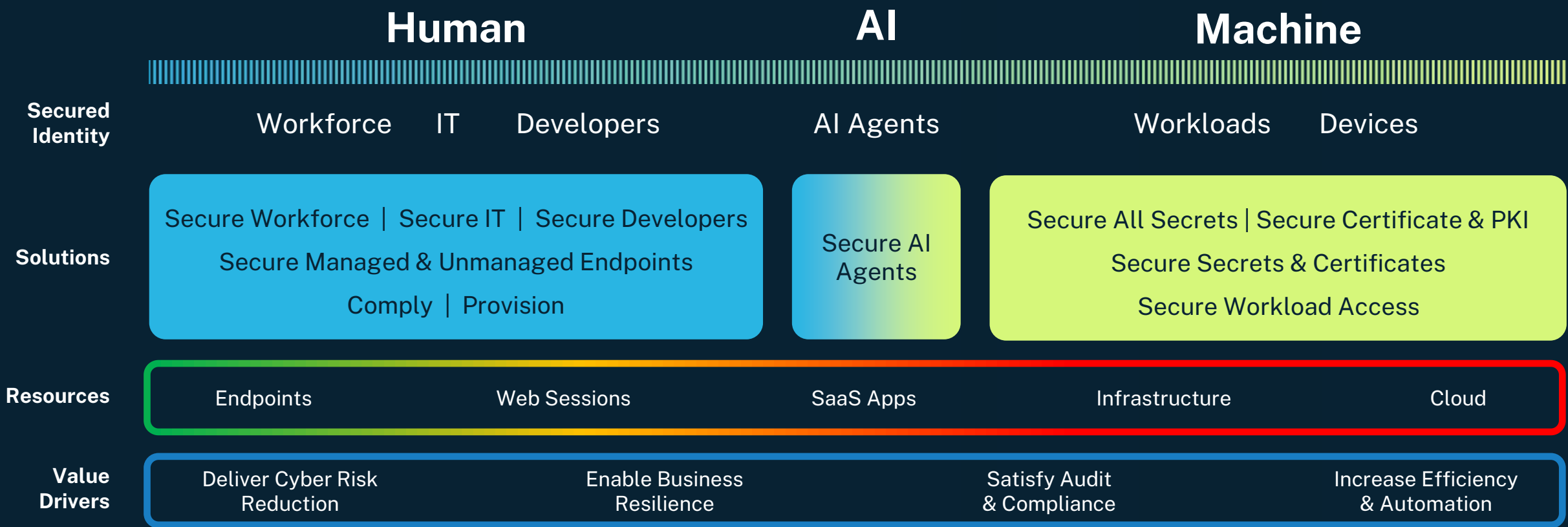
Discovery & Context



Governance & Compliance

CyberArk Identity Security Solutions

Powered by CORA AI





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Financial Overview

CyberArk Has a Compelling Financial Profile



Strong Track Record of Growth



Recurring Revenue Driving Visibility



Diverse, Balanced Customer Base



Consistent Land and Expand Motion

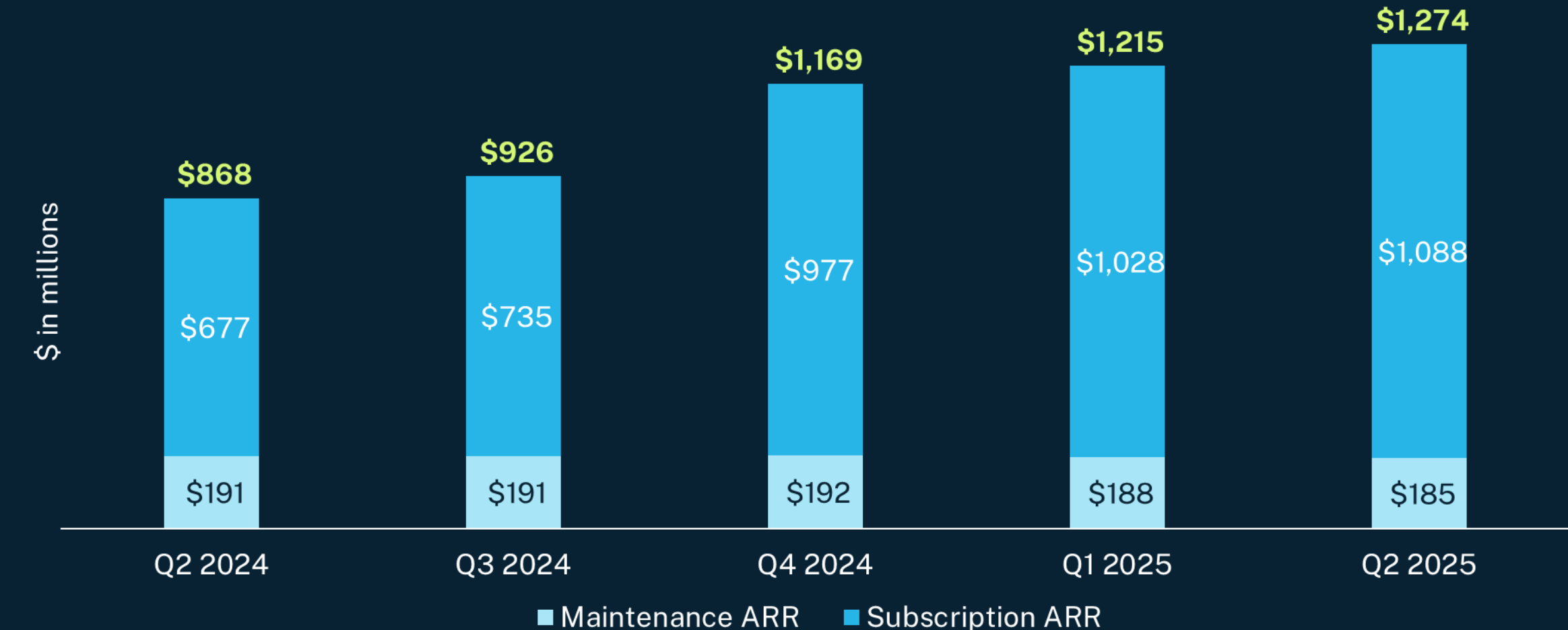


Strong Profitability & Cash Flow Generation

Continued Growth in Annual Recurring Revenue (ARR)

Subscription Portion of ARR Grew 61% Year-over-Year

Total ARR Grew 47% Year-over-Year

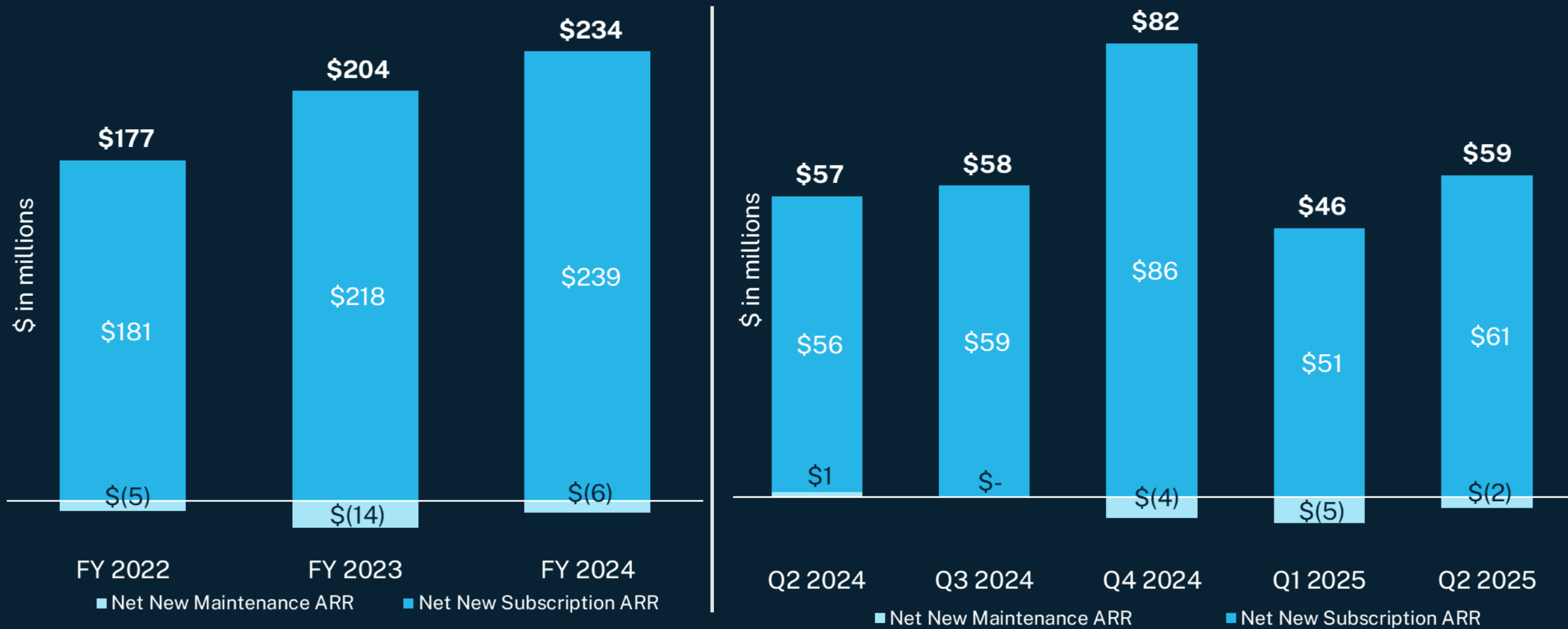


Totals may not sum because of rounding
The quarters ended Q1 2025 and Q2 2025 include financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025.
Venafi and Zilla are not included in Q2 2024, and Q3 2024, and Zilla is not included in Q4 2024.



Strong Net New ARR

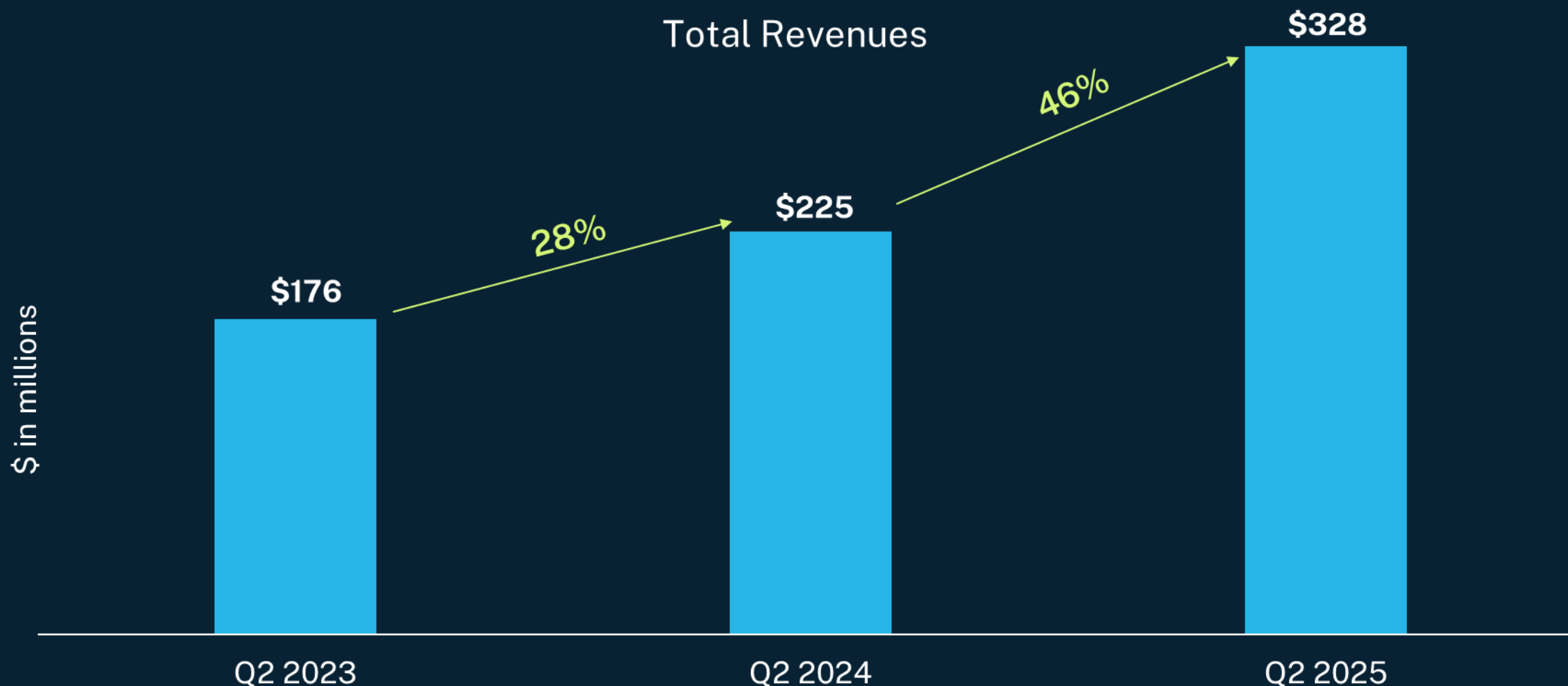
Net New Subscription ARR of \$61 million in the Second Quarter of 2025



Totals may not sum because of rounding
For the definition of net new ARR, please refer to the 'Key Definitions' slide in the appendix of this presentation.
FY 2024 includes contributions from the acquisition of Venafi, which closed in Q4 2024, but was not included in comparable FY 2022 and FY 2023.
The quarters ended Q1 2025 and Q2 2025 include financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025. Venafi and Zilla are not included in Q2 2024, and Q3 2024, and Zilla is not included in Q4 2024.

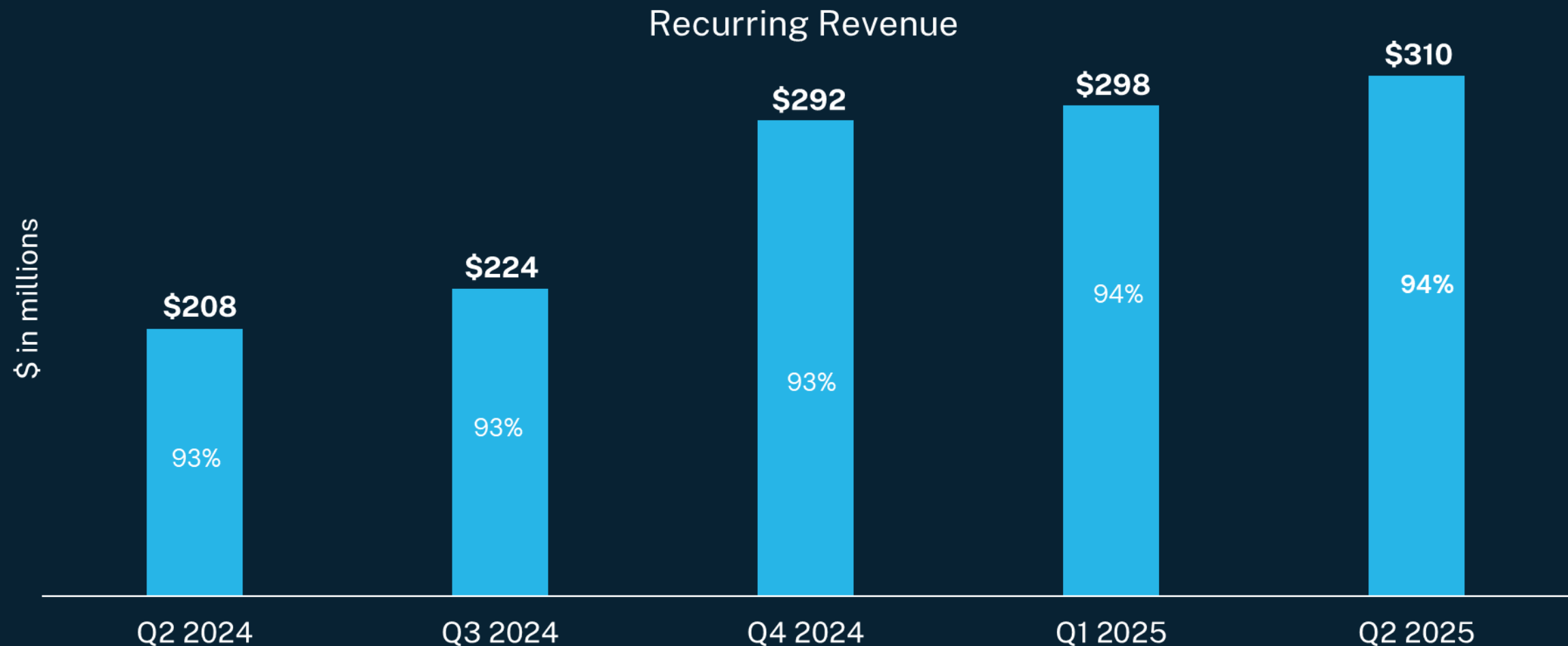
Strong Revenue Growth

Q2 2025 Revenue Exceeds High End of Guidance Range



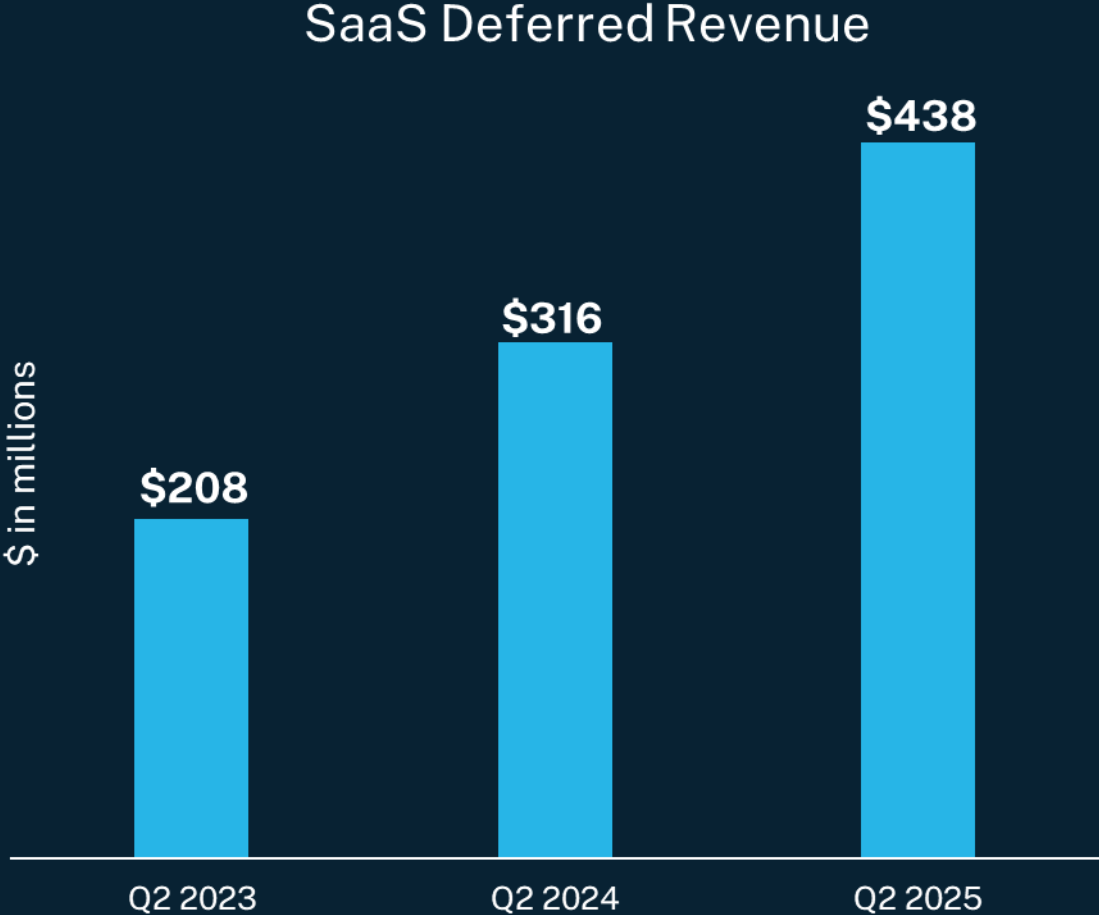
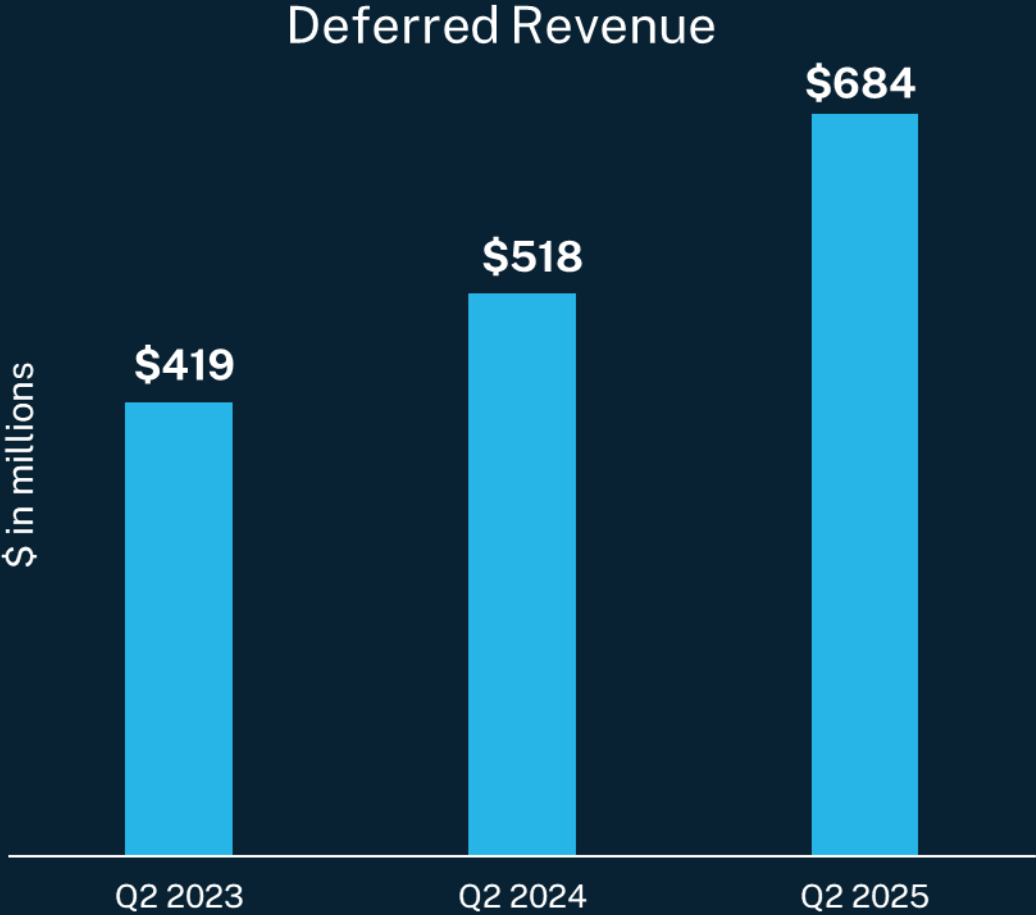
Recurring Revenue is Driving Growth

Recurring Revenue Growth of 49% Year-over-Year in Q2 2025



Percentages on the bar chart denote recurring revenue as a % of total revenue in the relevant period.
The quarters ended Q1 2025 and Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in Q4 2024, and Zilla, which closed in February 2025.
Venafi and Zilla are not included in Q2 2024, and Q3 2024, and Zilla is not included in Q4 2024.
For the definition of Recurring Revenue, please refer to the 'Key Definitions' slide in the appendix of this presentation.

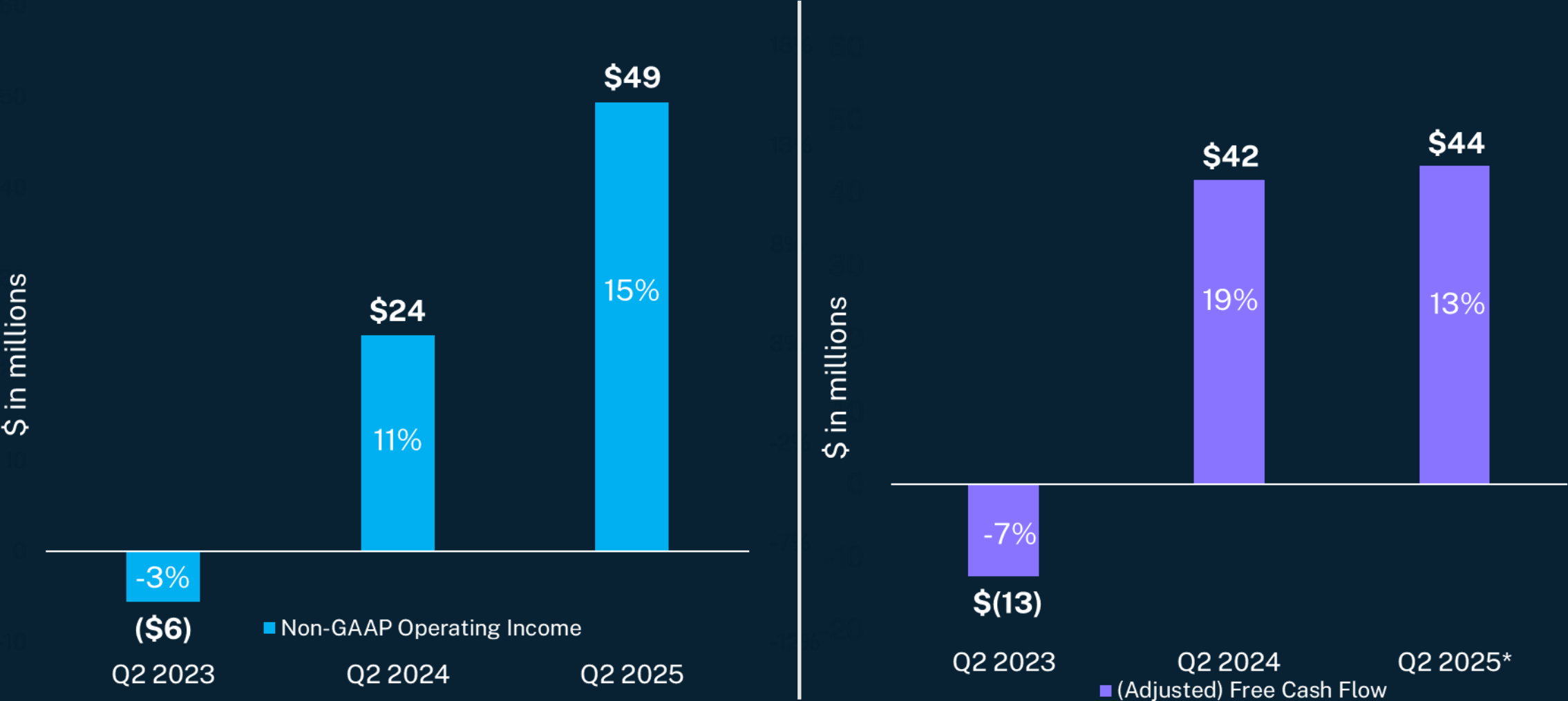
SaaS Deferred Revenue Growth of 39% Year-over-Year



"We are deliberately moving our perpetual maintenance contracts to one-year terms as part of our subscription transition, which impacts our long-term deferred revenue in the quarter.
Growth rates on this slide refer to the period ending June 30, 2025, compared to the same period the year prior.
The quarter ended Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025.
Venafi and Zilla are not included in Q2 2023 and Q2 2024.

Solid Profitability and Cash Flow

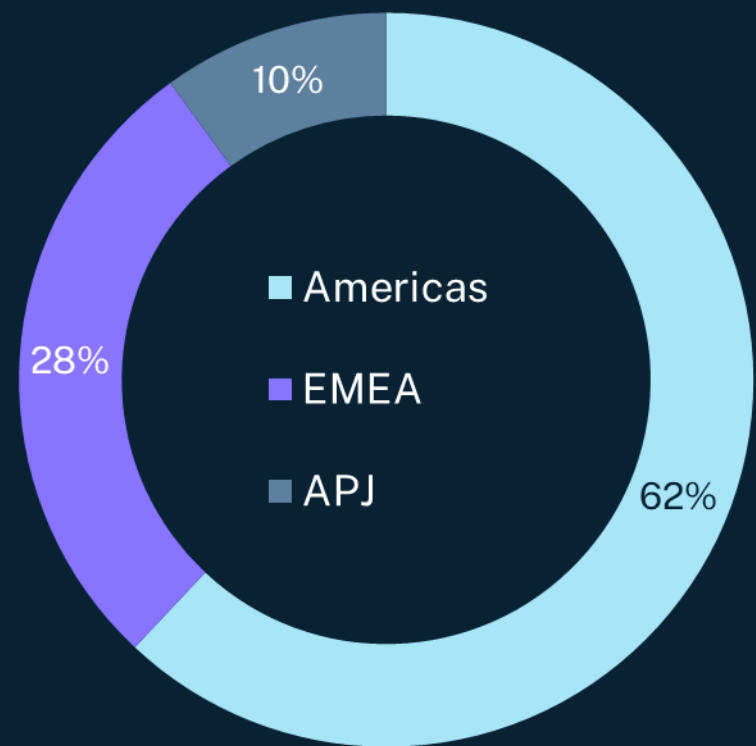
Operational Excellence Driving Increased Operating Leverage and Cash Flow



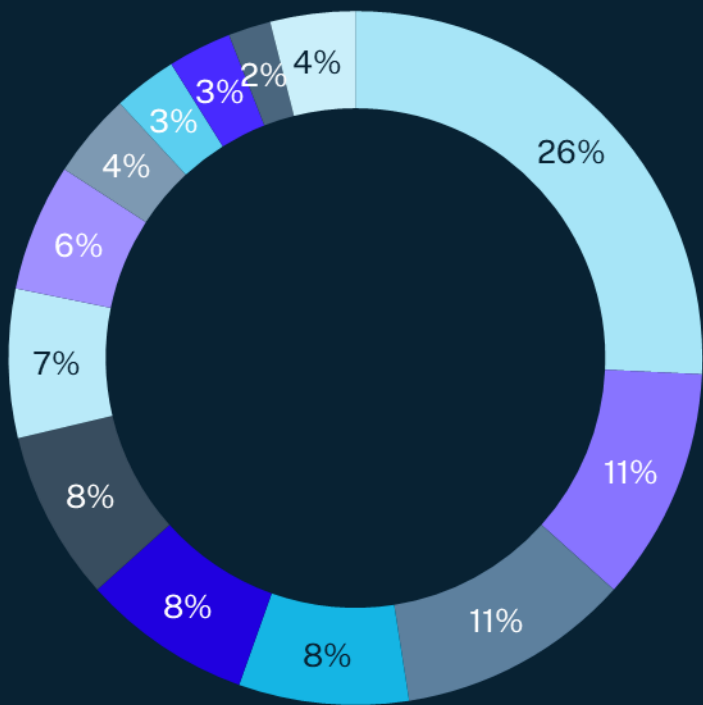
Percentages on the bar chart denote respective margins as a % of total revenue in the relevant period.
The quarter ended Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025. Venafi and Zilla are not included in Q2 2023 and Q2 2024.
*Adjusted Free Cash Flow normalizes for a one-time tax payment of approximately \$44 million we incurred in Q2 2025. For the full definitions of Free Cash Flow and Adjusted Free Cash Flow, please refer to the 'Key Definitions' slide in the appendix of this presentation.

Global Business Across Diverse Industries

ARR by Geography



ARR by Vertical



- Banking & Financial
- Manufacturing
- Government
- Insurance
- IT Services & Software
- Healthcare
- Energy & Utilities
- Retail & Wholesale
- Telecommunication
- Transportation & Travel
- Professional Services
- Pharmaceuticals
- Other



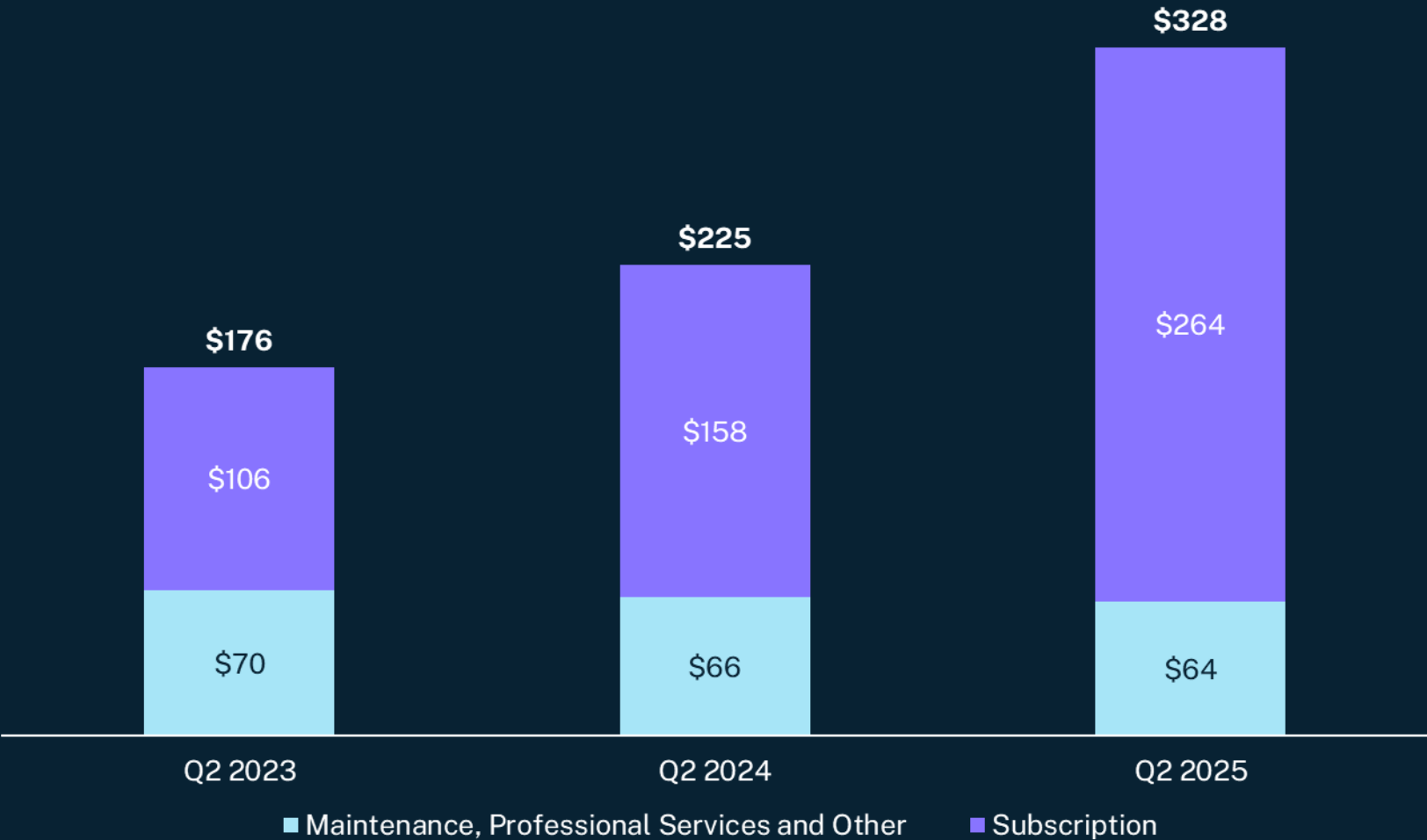
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Appendix



Subscription Revenue Growth of 66%

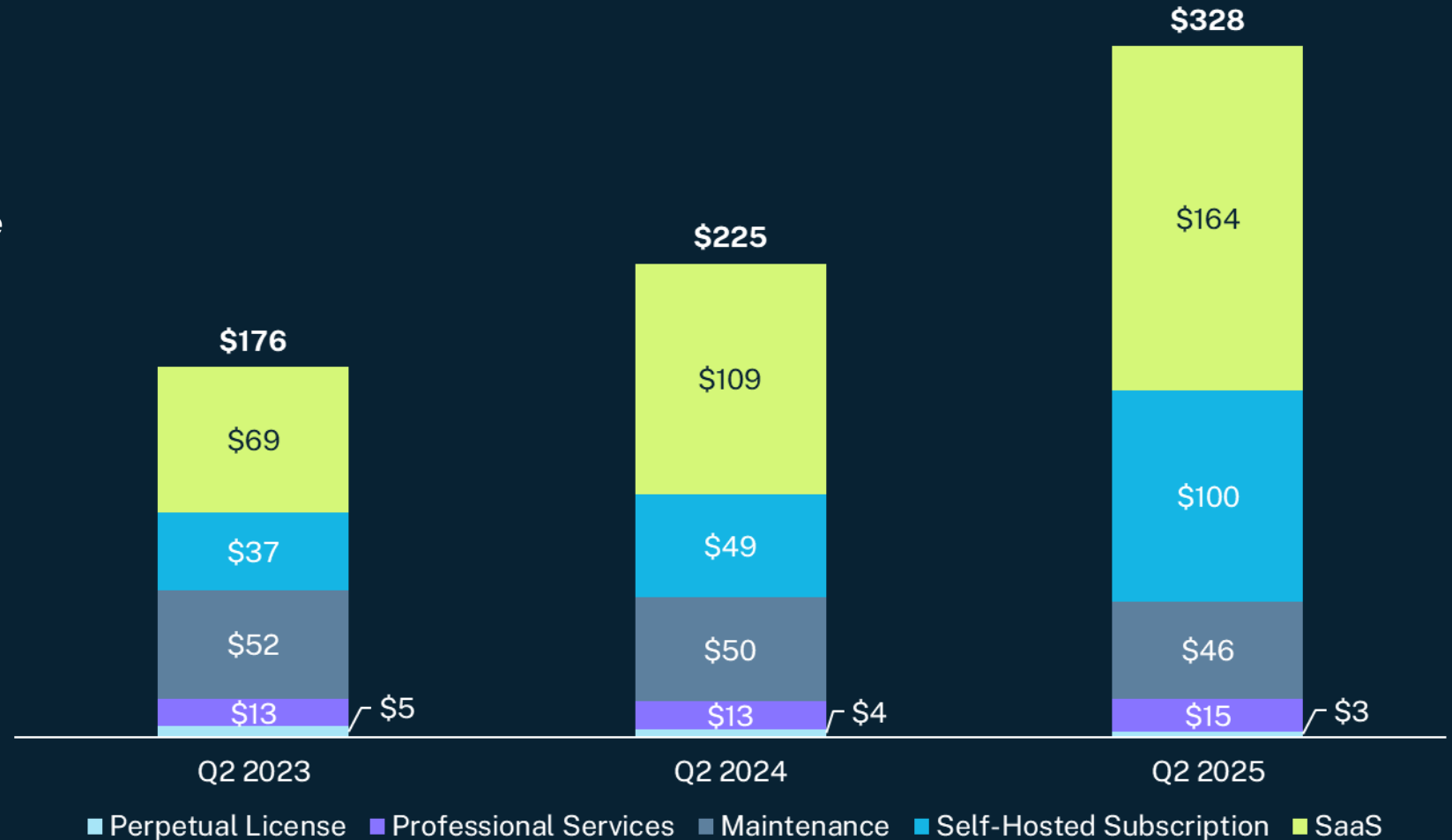
- 80% of Revenue in Q2 2025 is from Subscription, compared to 70% in Q2 2024



Totals may not sum because of rounding
For the definition of Subscription Revenue, please refer to the 'Key Definitions' slide in the appendix of this presentation.
The quarter ended Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025.
Venafi and Zilla are not included in Q2 2023 and Q2 2024.

Subscription Revenue Growth of 66%

- SaaS revenue grew 49% YoY
- Self-Hosted Subscription revenue grew 105% YoY



Totals may not sum because of rounding

For the definition of Subscription Revenue, please refer to the 'Key Definitions' slide in the appendix of this presentation.

Q2 2025 includes financial contributions from the acquisitions of Venafi, which closed in October 2024, and Zilla, which closed in February 2025. Venafi and Zilla are not included in Q2 2023 and Q2 2024.

New Presentation of Revenue Line Items

(In Thousands)	Q1 2023	Q2 2023	Q3 2023	Q4 2023	FY 2023
Revenues:					
Subscription	92,720	106,167	122,879	150,257	472,023
Maintenance, Professional Services and Other	68,985	69,676	68,357	72,847	279,865
Total revenues	161,705	175,843	191,236	223,104	751,888
Cost of revenues:					
Subscription	13,306	14,847	16,258	16,757	61,169
Maintenance, Professional Services and Other	16,906	17,733	16,827	16,608	68,073
Total cost of revenues	30,212	32,580	33,085	33,365	129,242
Non-GAAP Gross profit	131,493	143,263	158,151	189,739	622,646

(In Thousands)	Q1 2024	Q2 2024	Q3 2024	Q4 2024	FY 2024
Revenues:					
Subscription	156,239	158,414	175,577	243,045	733,275
Maintenance, Professional Services and Other	65,311	66,292	64,525	71,339	267,467
Total revenues	221,550	224,706	240,102	314,384	1,000,742
Cost of revenues:					
Subscription	17,774	19,198	21,082	25,269	83,323
Maintenance, Professional Services and Other	18,038	18,621	18,694	21,973	77,326
Total cost of revenues	35,812	37,819	39,776	47,242	160,649
Non-GAAP Gross profit	185,738	186,887	200,326	267,142	840,093

Totals may not sum because of rounding

For the definition of Subscription Revenue, please refer to the 'Key Definitions' slide in the appendix of this presentation.

Q4 2024 includes financial contribution from the acquisitions of Venafi, which closed in October 2024.

Venafi is not included in the periods prior to Q4 2024.

GAAP to Non-GAAP Reconciliation

(In Thousands)	2022	2023	2024	Q2 2024	Q2 2025
GAAP gross profit to Non-GAAP gross profit :					
Gross Profit	\$465,664	\$595,757	\$792,365	\$179,688	\$247,485
Share-based compensation	15,060	17,612	21,724	5,413	6,665
Amortization of stock-based compensation capitalized in software development costs	346	393	328	81	94
Amortization of intangible assets	6,044	6,817	25,676	1,705	21,776
Impairment of capitalized software development costs	--	2,067	--	--	--
Non-GAAP gross profit	\$487,114	\$622,646	\$840,093	\$186,887	\$276,020

GAAP to Non-GAAP Reconciliation

(In Thousands)	2022	2023	2024	Q2 2023	Q2 2024	Q2 2025
GAAP operating loss to Non-GAAP operating income (loss):						
Operating loss	\$(152,450)	\$(116,472)	\$(72,804)	\$(39,898)	\$(23,976)	\$(35,817)
Share-based compensation	120,821	140,101	168,766	32,370	40,531	55,271
Amortization of stock-based compensation capitalized in software development costs	346	393	328	103	81	94
Amortization of intangible assets	6,655	7,364	32,777	1,839	1,830	29,867
Acquisition related expenses	2,244	--	21,800	--	5,281	--
Impairment of capitalized software development costs	--	2,067	--	--	--	--
Non-GAAP operating income (loss)	\$(22,384)	\$33,453	\$150,867	\$(5,586)	\$23,747	\$49,415
GAAP net (loss) to Non-GAAP net income (loss):						
Net (loss)	\$(130,368)	\$(66,504)	\$(93,461)	\$(25,778)	\$(12,923)	\$(90,828)
Share-based compensation	120,821	140,101	168,766	32,370	40,531	55,271
Amortization of stock-based compensation capitalized in software development costs	346	393	328	103	81	94
Amortization of intangible assets	6,655	7,364	32,777	1,839	1,830	29,867
Acquisition related expenses	2,244	--	21,800	--	5,281	--
Amortization of debt discount and issuance costs	2,980	2,996	2,660	748	752	238
Change in fair value of derivative assets	--	--	(4,618)	--	--	--
Gain from investment in privately held companies	(324)	(2,757)	--	(294)	--	(3,318)
Impairment of capitalized software development costs	--	2,067	--	--	--	--
Tax adjustments	(20,189)	(31,656)	19,297	(7,708)	(9,457)	54,319
Non-GAAP Net Income (Loss)	\$ (17,835)	\$52,004	\$147,549	\$1,208	\$26,095	\$45,643

Reconciliation of GAAP Operating Cash Flow to (Adjusted) Free Cash Flow

(In Thousands)	2022	2023	2024	Q2 2023	Q2 2024	Q2 2025
Net cash provided by (used in) operating activities	\$49,708	\$56,204	\$231,887	\$(10,868)	\$44,343	\$4,731
Purchase of Property and Equipment and other	(8,627)	(3,280)	(9,178)	(1,177)	(2,151)	(2,785)
Capitalized internal-use software	(3,890)	(1,668)	(1,881)	(570)	(469)	(2,309)
Free Cash Flow	\$37,191	\$51,256	\$220,828	\$(12,615)	\$41,723	\$(363)
Tax payment related to transfer of Venafi IP	--	--	--	--	--	44,112
Adjusted Free Cash Flow	\$37,191	\$51,256	\$220,828	\$(12,615)	\$41,723	\$43,749

How We Calculate ARR

ARR is defined as the annualized value of active SaaS, self-hosted subscriptions and their associated maintenance & support services, and maintenance contracts related to the perpetual licenses in effect at the end of the reported period.

Subscription portion of ARR is defined as the annualized value of active SaaS and self-hosted subscription contracts in effect at the end of the reported period. The subscription portion of ARR excludes maintenance contracts related to perpetual licenses.

$$ARR = \frac{TCV \times 365}{Duration (days)}$$

Annual Recurring Revenue (ARR) is a performance indicator that provides more visibility into the growth of our recurring business in the upcoming year. ARR should be viewed independently of revenues and total deferred revenue as it is an operating measure and is not intended to be combined with or to replace either of those measures. ARR is not a forecast of future revenues and can be impacted by contract start and end dates and renewal rates. This visibility allows us to make informed decisions about our capital allocation and level of investment.

Key Definitions

- **Annual Recurring Revenue (ARR):** ARR is defined as the annualized value of active SaaS, self-hosted subscriptions and their associated maintenance and support services, and maintenance contracts related to the perpetual licenses in effect at the end of the reported period.
- **Subscription Portion of Annual Recurring Revenue:** Subscription portion of ARR is defined as the annualized value of active SaaS and self-hosted subscription contracts in effect at the end of the reported period. The subscription portion of ARR excludes maintenance contracts related to perpetual licenses.
- **Maintenance Portion of Annual Recurring Revenue:** Maintenance portion of ARR is defined as the annualized value of active maintenance contracts related to perpetual licenses. The Maintenance portion of ARR excludes SaaS and self-hosted subscription contracts in effect at the end of the reported period.
- **Net New ARR:** Net new ARR refers to the difference between ARR as of March 31, 2025 and ARR as of December 31, 2024.
- **Recurring Revenue:** Recurring Revenue is defined as revenue derived from SaaS and self-hosted subscription contracts, and maintenance contracts related to perpetual licenses during the reported period.
- **Subscription Revenue:** Subscription Revenue is defined as SaaS plus Self-Hosted Subscription (both License + Ratable Maintenance of self-hosted Subscription Revenue).
- **Non-GAAP operating income (loss):** Non-GAAP operating income (loss) is calculated as GAAP operating loss excluding share-based compensation expense and amortization of intangible assets related to acquisitions.
- **Free Cash Flow:** Free cash flow is calculated as net cash provided by operating activities less purchase of property and equipment and other assets, and capitalized internal-use software.
- **Adjusted Free Cash Flow:** Adjusted free cash flow is calculated as free cash flow plus one-time tax payment on the capital gain from the intercompany migration of intellectual property (IP) related to the Venafi acquisition and capital expenditures related to our new U.S. headquarters.



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Thank You

